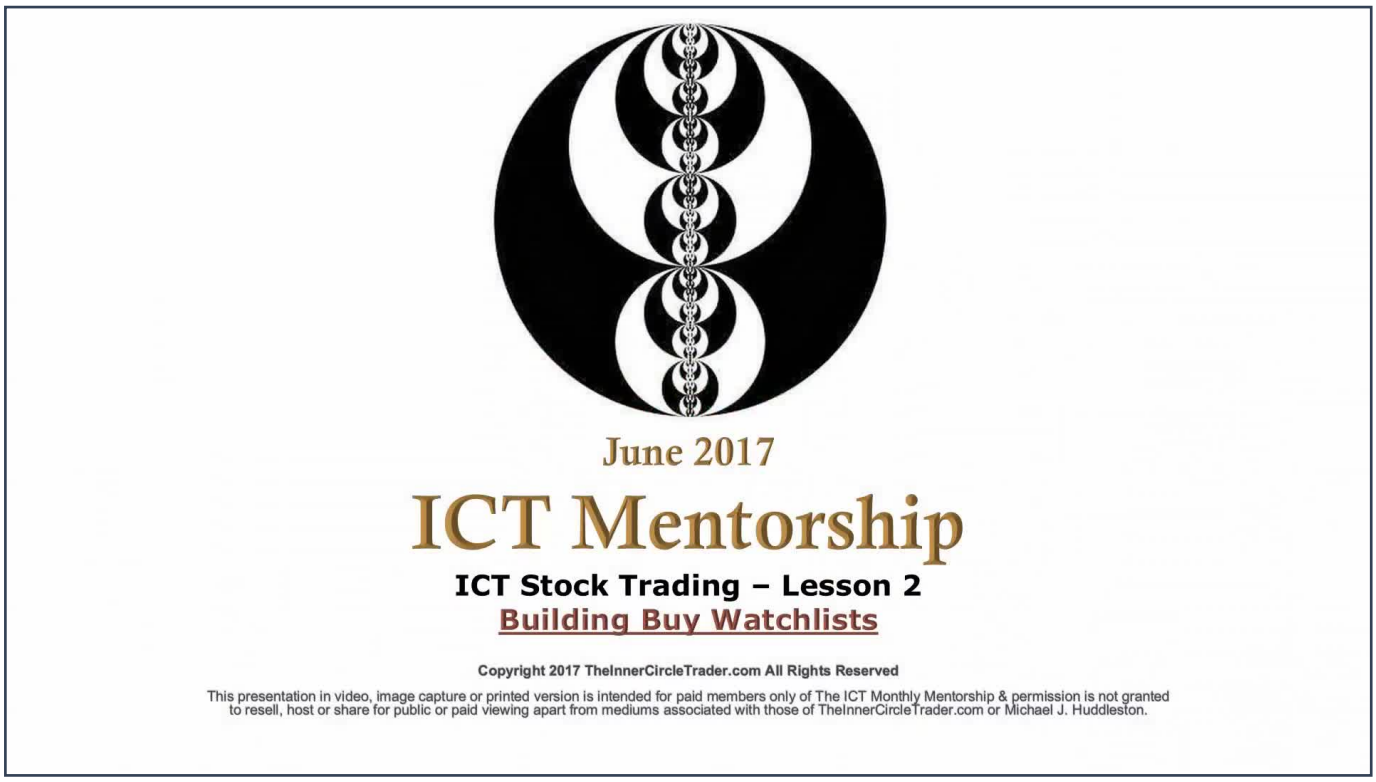
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - STOCK TRADING - BUILDING BUY WATCHLISTS



Welcome to Lesson 2 of the ICT Mentorship June 2017 content: ICT Stock Trading - Building Buy Watchlists.

SCOPE: FOCUS ON DOW JONES INDUSTRIAL AVERAGE

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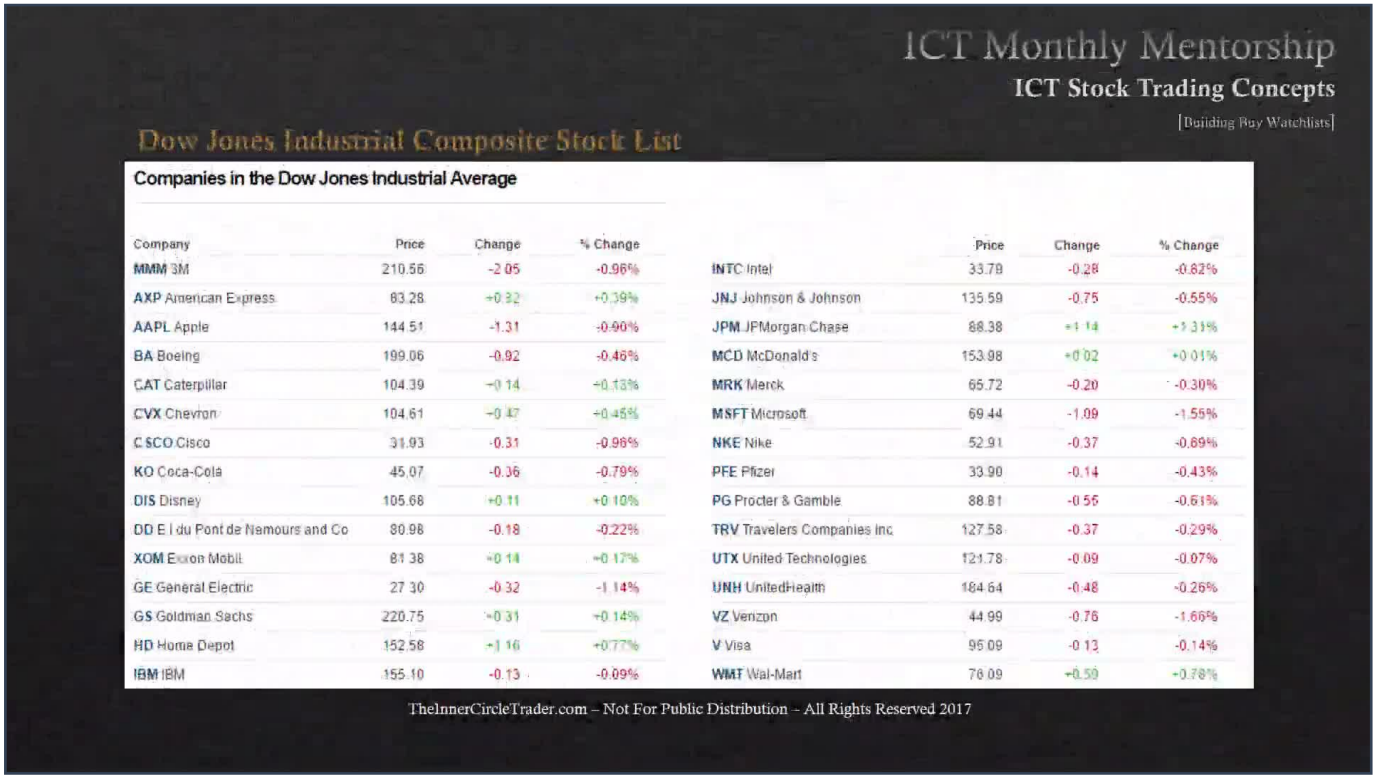

Companies in the Dow Jones Industrial Average

Company	Price	Change	% Change		Price	Change	% Change
MMM 3M	210.56	-2.05	-0.96%	INTC Intel	33.79	-0.28	-0.82%
AXP American Express	83.28	+0.32	+0.39%	JNJ Johnson & Johnson	135.59	-0.75	-0.55%
AAPL Apple	144.51	-1.31	-0.90%	JPM JPMorgan Chase	88.38	+1.14	+1.31%
BA Boeing	199.06	-0.92	-0.46%	MCD McDonald's	153.98	+0.02	+0.01%
CAT Caterpillar	104.39	-0.14	-0.13%	MRK Merck	65.72	-0.20	-0.30%
CVX Chevron	104.61	-0.47	-0.45%	MSFT Microsoft	69.44	-1.09	-1.55%
CSCO Cisco	31.93	-0.31	-0.96%	NKE Nike	52.91	-0.37	-0.69%
KO Coca-Cola	45.07	-0.36	-0.79%	PFE Pfizer	33.90	-0.14	-0.43%
DIS Disney	105.68	+0.11	+0.10%	PG Procter & Gamble	88.81	-0.55	-0.61%
DD E I du Pont de Nemours and Co	80.98	-0.18	-0.22%	TRV Travelers Companies Inc	127.58	-0.37	-0.29%
XOM Exxon Mobil	81.38	+0.14	+0.17%	UTX United Technologies	121.78	-0.09	-0.07%
GE General Electric	27.30	-0.32	-1.14%	UNH UnitedHealth	184.64	-0.48	-0.26%
GS Goldman Sachs	220.75	+0.31	+0.14%	VZ Verizon	44.99	-0.76	-1.66%
HD Home Depot	152.58	+1.16	+0.77%	V Visa	95.09	-0.13	-0.14%
IBM IBM	155.10	-0.13	-0.09%	WMT Wal-Mart	76.09	+0.59	+0.78%

Our focus will be on the Dow Jones Industrial Composite stock list, which includes all 30 stocks currently making up the Dow Jones Industrial Average.

- While these applications can be done on the S&P 500 and NASDAQ 100, it is not necessary to diversify, as all required stock trades can be made from the Dow Jones 30 stock list alone.

SEASONAL INFLUENCES AND BULLISH MONTHS FOR STOCK TRADING

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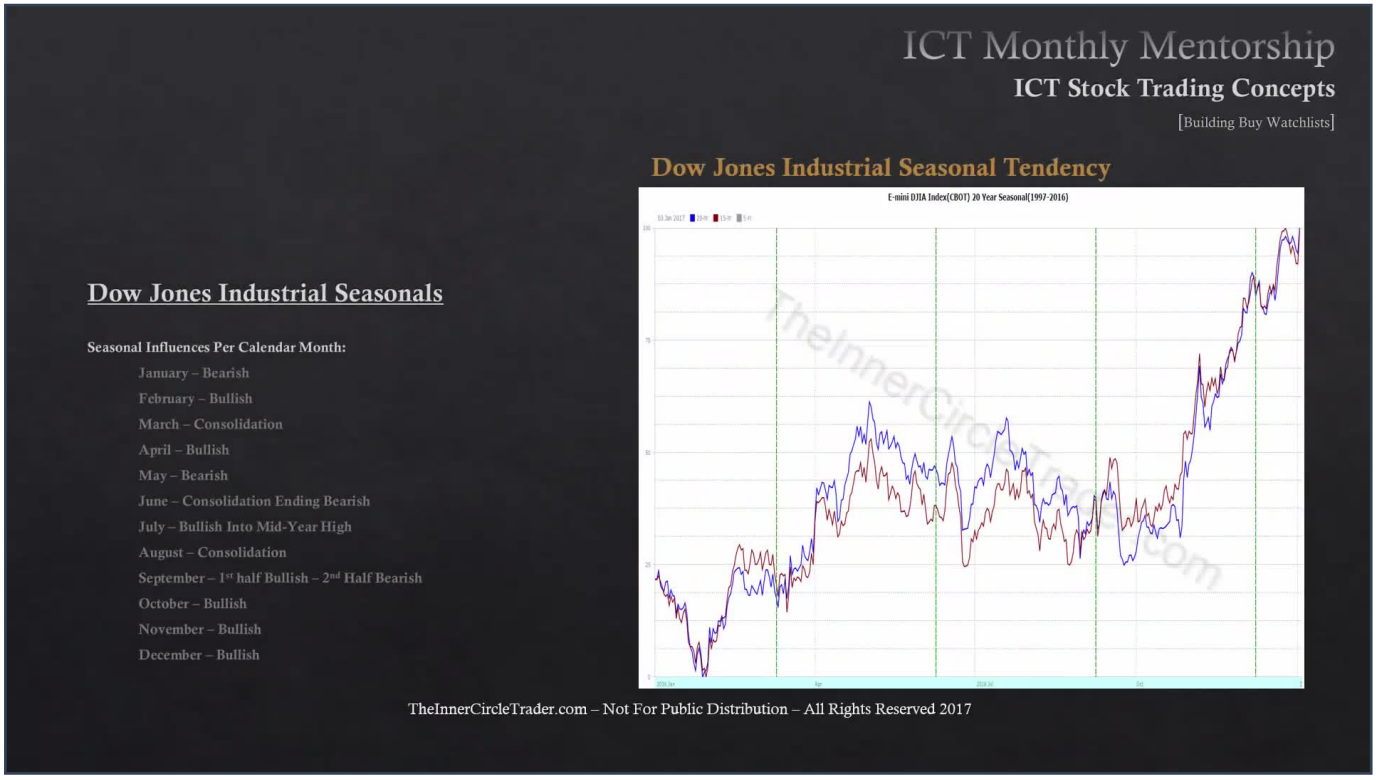

As discussed in the first lesson, we will utilize seasonal influences per calendar month.

- The primary focus for building buy watchlists will be on bullish months.

- We are not looking for individual monthly trades, but rather for periods when the market generally wants to trade higher.

- We will focus on two main segments of the calendar year for anticipating bullishness:

  - The first half of the year

  - The second half of the year

FILTER CRITERIA FOR BUY WATCHLISTS

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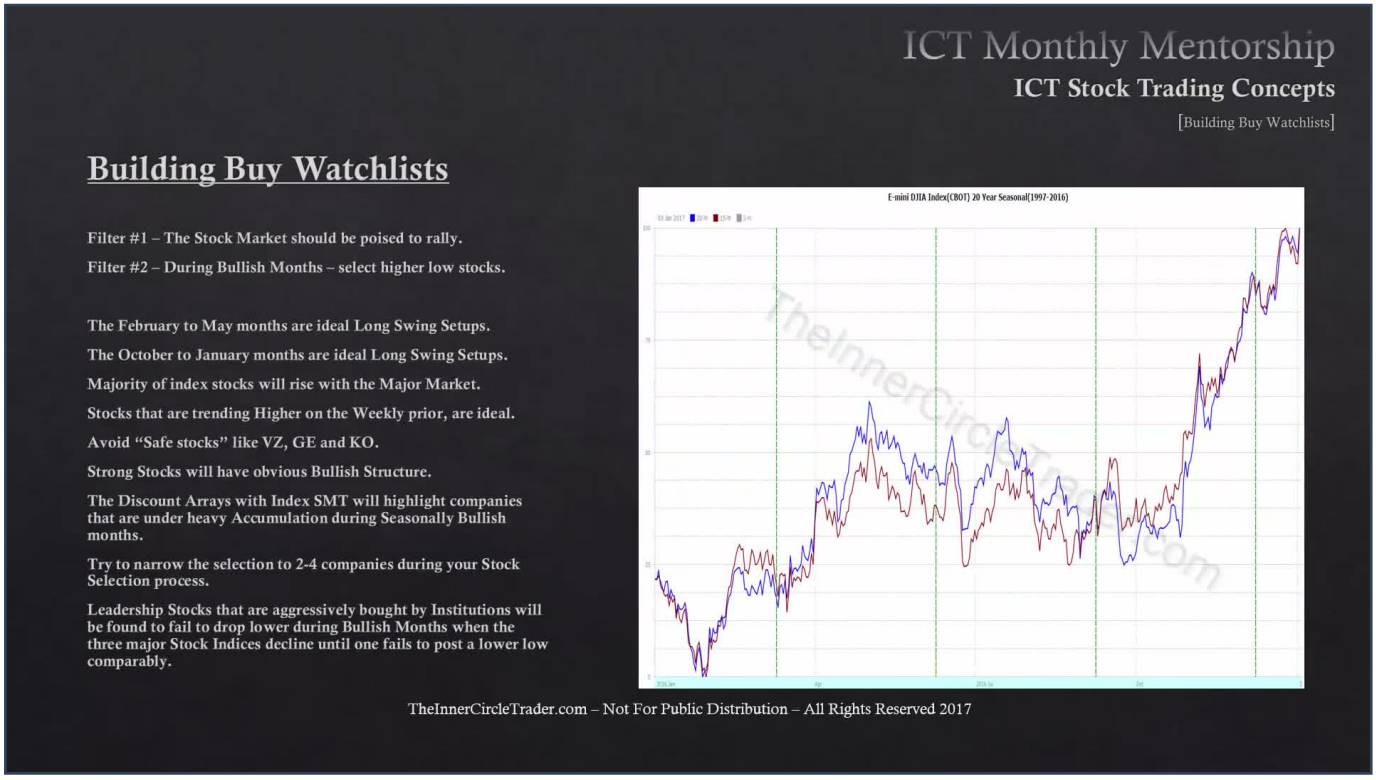


To build effective buy watchlists, apply the following filters:

- Filter 1: Is the stock market poised to rally? Is it technically sound for anticipating a market rally?

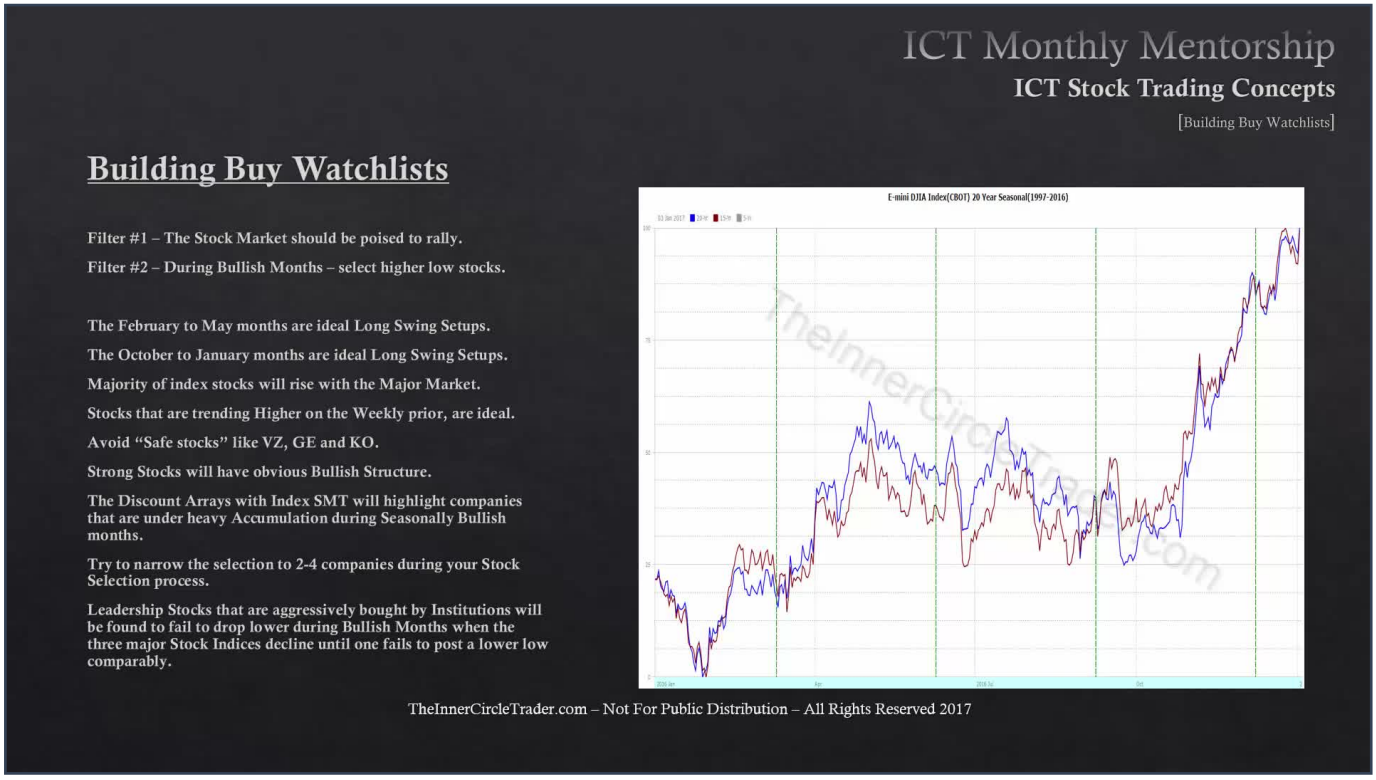
- Filter 2: During bullish months, select 'higher low stocks' - those that have formed a higher low.

- Ideal long swing setups are typically found in:

  - February to May months

  - October to January months

- While previous tutorials focused on the fall (October to January), this lesson will emphasize the spring session (February to May) and introduce additional insights.

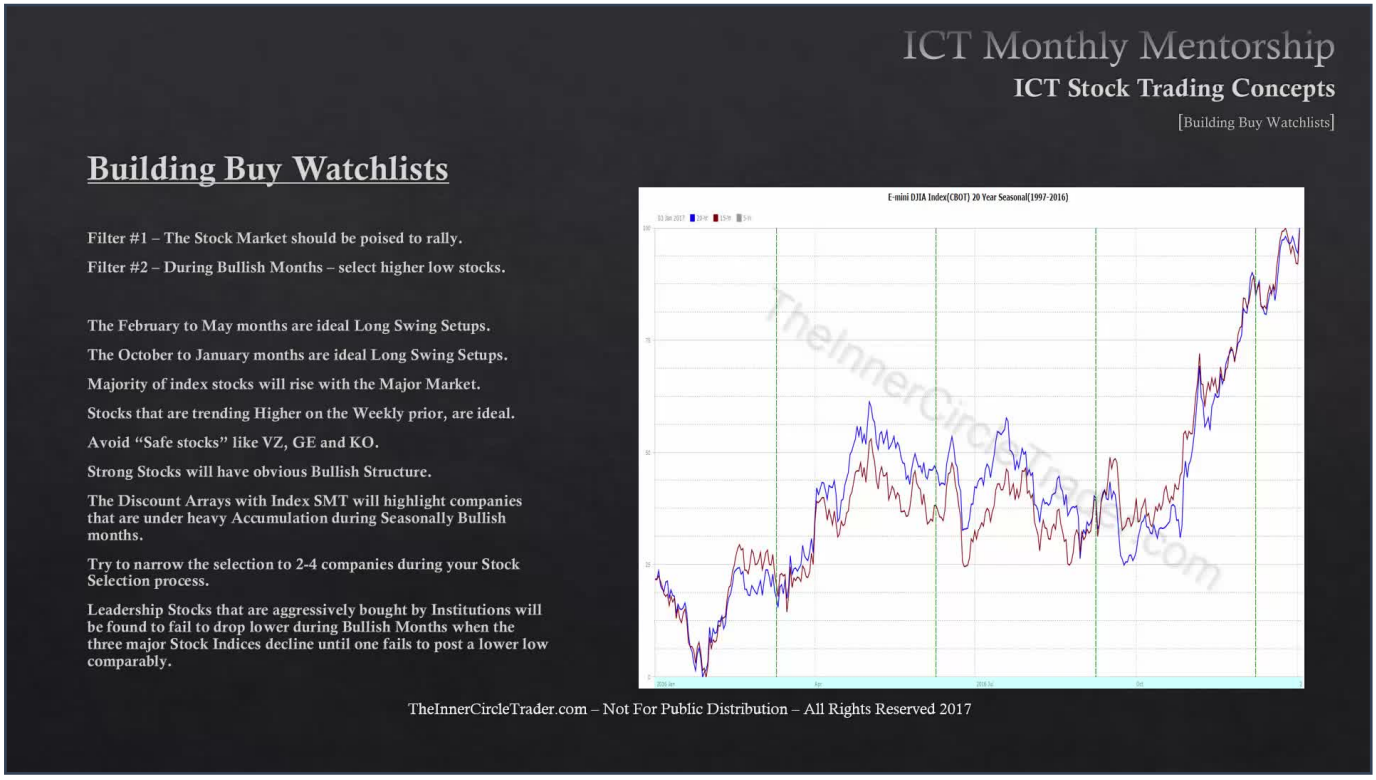


Generally, the majority of index stocks tend to rise when the overall market or a major market rallies, following the analogy: 'in high tide all boats rise'.

- Look for stocks that are trending higher on the weekly chart prior to the desired buying condition.

- Avoid 'safe' stocks like Verizon, General Electric (GE), or Coca-Cola.

- Strong stocks will display an obvious bullish structure.



Discount arrays combined with Index SMT (Smart Money Technique) can identify companies undergoing heavy accumulation during seasonally bullish months.

- Aim to narrow your selection to two to four companies during the stock selection process.

- Leadership stocks, those aggressively bought by institutions, will fail to drop lower during bullish months when the three major stock indices (NASDAQ, S&P, and Dow) decline.

- This divergence, where one of those indices fails to post a lower low comparably, signals an overall market trend change to bullishness.

- At this same juncture, we look for stocks that are making higher highs; if a particular stock does not exhibit this, it should be discarded.

FOCUS ON FEBRUARY TO MAY SEASONAL BULLISHNESS

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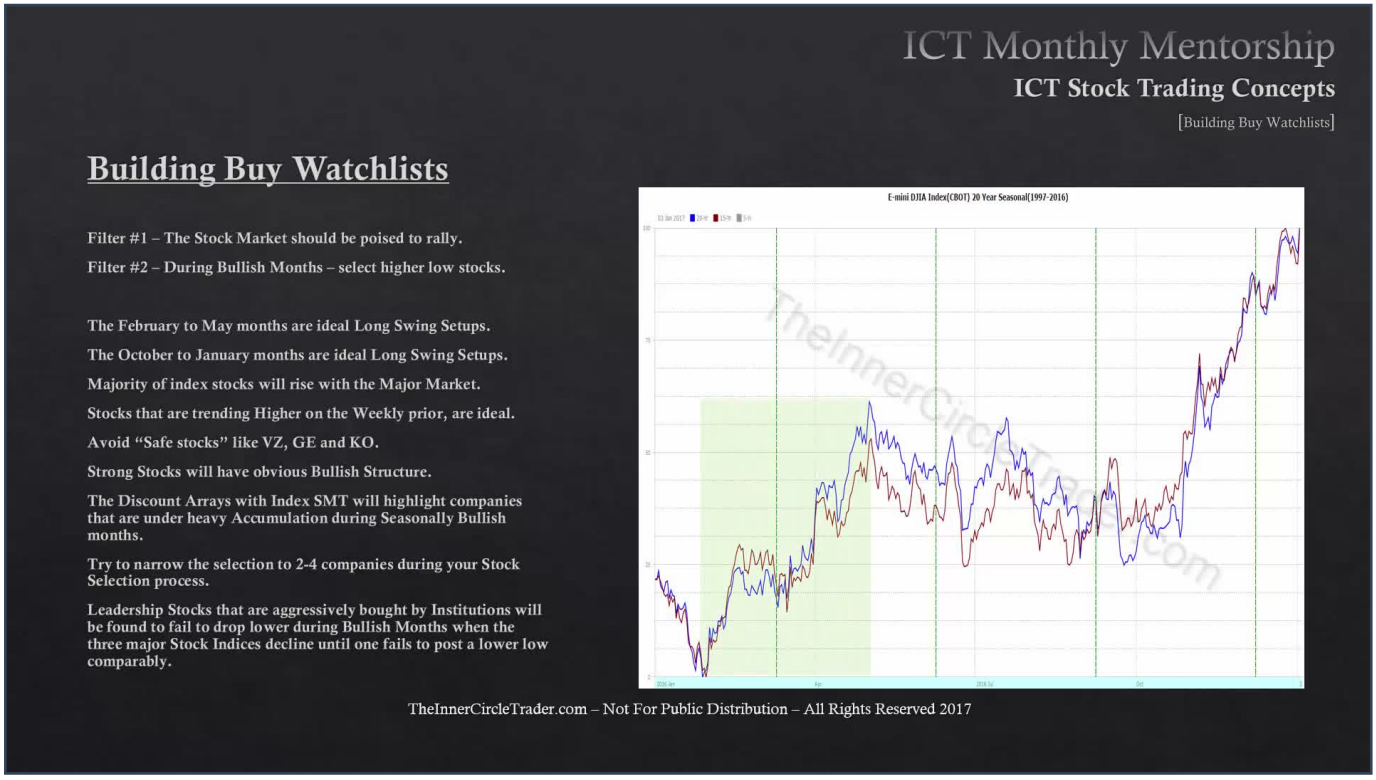

Our current analysis focuses primarily on the February to May portion of the year for identifying bullish stock opportunities.

- To save time, the Dow 30 stocks have been pre-screened based on the outlined criteria.

CASE STUDY 1: APPLE (AAPL) - RELATIVE STRENGTH EXAMPLE

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The Dow Jones (solid green line) traded lower from January into mid-January 2017, making a lower low.

- Apple Incorporated (AAPL) failed to go lower at that same time, demonstrating relative strength.

- This scenario typically occurs when large institutions initiate buy programs, indicating significant accumulation around the $118-$120 per share level.

- From February all the way up into May, Apple experienced a substantial appreciation.

- This 'failure to make a lower low' against the Dow Jones Industrial Average is a key hallmark of institutional accumulation during bullish seasonal periods, leading to subsequent price appreciation.

CASE STUDY 2: BOEING (BA) - BULLISH DIVERGENCE AND DISCOUNT ARRAY

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Boeing presented a similar scenario.

- In January, leading into February's bullish seasonal period, the Dow Jones created a lower low, but Boeing's share price was unwilling to go lower, exhibiting a bullish divergence.

- Boeing gapped up in January, and that gap (a fair value gap or discount array) was closed on the second trading day of February.

- Price then rallied away, moving higher into May.

- The bulk of the bullishness was observed between February and May, aligning with seasonal tendencies for stock trades in the first portion of the year.

Disney also met the criteria of forming a higher low, bucking the trend of a lower low in the Dow Jones Industrial Average in January.

- Between February and May, Disney showed a nice appreciation in share price.

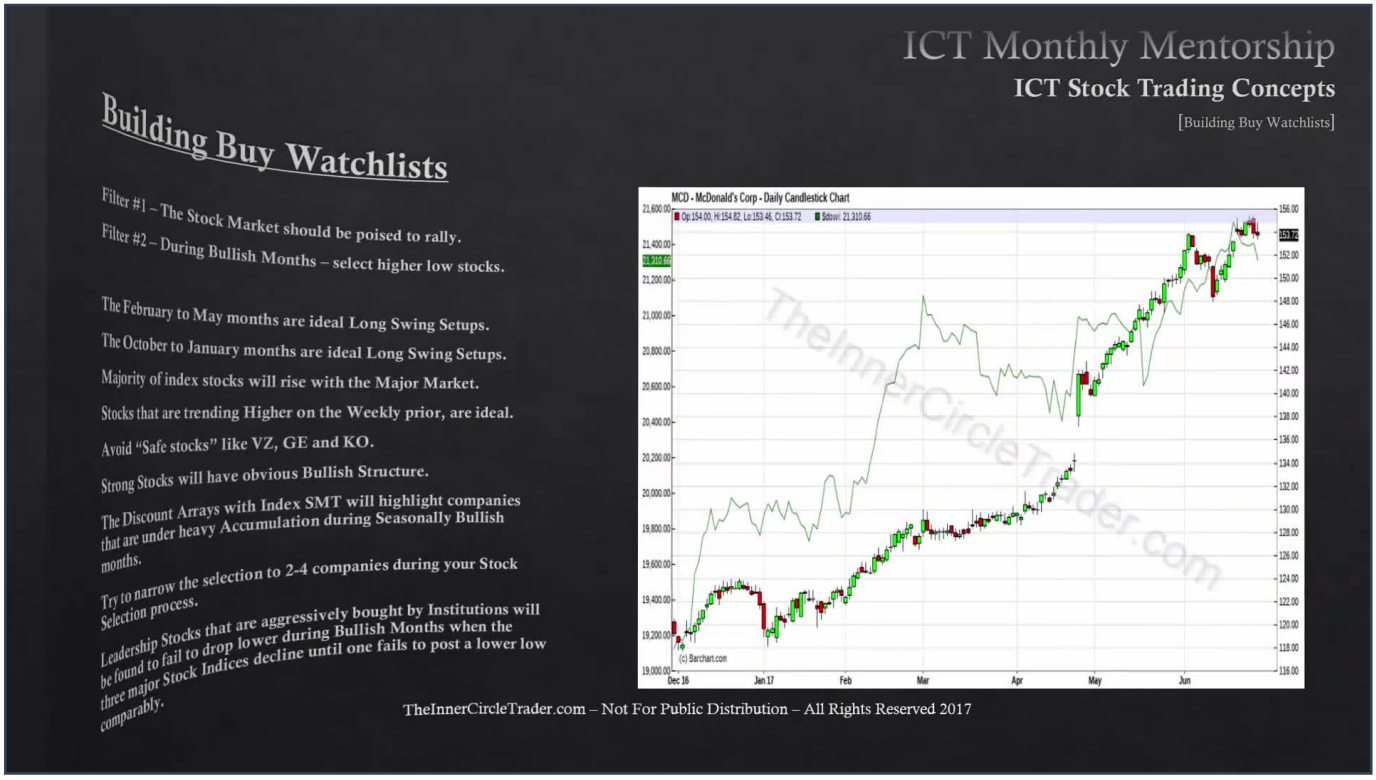
- However, in May, when seasonal tendencies shifted from bullishness, Disney made its high and subsequently traded off rather precipitously on the downside.

Home Depot met the criteria.

- In January, the Dow Jones made a lower low, but Home Depot shares failed to make that lower low, diverging around the $135-$136 per share price.

- A large up day in January created a liquidity void, which price later traded down into and closed in February (closing that range fair value gap, a discount array).

- This led to a very nice price movement higher between the anticipated bullishness beginning in February and extending into May.



McDonald's also aligned with the criteria.

- The Dow Jones exhibited a lower low in January 2017, but McDonald's shares diverged bullishly by not making a lower low in January.

- Price rallied higher, showing a very nice movement from February's inception of the bullish seasonal tendency up to a share price of $142, and subsequently moved as high as $153 a share.

CASE STUDY 6: VISA (V) - UNWILLINGNESS TO MAKE LOWER LOW

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Visa was also filtered through the process.

- The Dow Jones made a lower low in January, but Visa's share price was unwilling to make that lower low.

- Between February and May, a nice appreciation was observed from February's beginning to the start of May.

FINAL WATCHLIST OF DOW 30 CANDIDATES

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Out of the 30 Dow stocks, after filtering out less exciting companies like Verizon, Coca-Cola, General Electric, and personally, Microsoft and Intel, six stocks were identified:

- Apple (AAPL)

- Boeing (BA)

- Disney (DIS)

- Home Depot (HD)

- McDonald's (MCD)

- Visa (V)

- The next step is to select two to four from this list.

Further refinement of the watchlist involves considering:

- The affordability of call options.

- The historical trading context of each stock.

- Eliminating any stock that is too extended from a weekly or daily market structure.

When we look for low resistance liquidity runs, we are anticipating a move through an old high or low, representing a qualified break in market structure.

- For stocks moving higher, institutions prefer big breakouts and aggressive movements, especially evident on a weekly chart.

- This is particularly true when fundamental analysis suggests higher prices for the company, the major market is expected to move higher, and seasonal tendencies align.

- If a market structure high is already significantly higher than your potential entry point, you are likely to experience lethargic price action, or the price may peter out and either go sideways or reverse altogether.

Quarterly increases in sales and profits are a strong fundamental factor for keeping a stock on the list.

- The ultimate goal is a blended trading process that combines simple seasonal, fundamental, and technical analysis for selecting potentially winning stocks.

- We effectively narrowed down 30 initial stocks to six strong candidates.

WEEKLY CHART ANALYSIS: APPLE (AAPL) - BREAKOUT POTENTIAL

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Reviewing Apple's weekly chart:

- Apple had an old high back in 2015.

- At the time of the seasonal bullish tendency for February 2017, price was positioned to break out.

- This presented a low resistance liquidity run above $135, signaling that institutions would likely step in to facilitate this breakout.

- Apple displayed a very strong weekly structure, with every down-close candle supporting new buying from April 2016, leading up to the expansion in February through $135, and ultimately up to $155 per share.

WEEKLY CHART ANALYSIS: BOEING (BA) - RIPE FOR BREAKOUT

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Reviewing Boeing's weekly chart:

- Boeing also had an old high in 2015.

- The market consolidated, with price running down below the $120 level to clear out sell stops, before institutional order flow began supporting down-closed candles.

- There were clear levels at $150 and an old high around $160.

- As we moved into the bullish seasonal tendency in February 2017, the market was sitting right at old highs, perfectly ripe for a breakout.

- Institutions favor this setup and will buy aggressively if the company is fundamentally sound, as Boeing is.

- From $160 a share, Boeing ultimately moved up to $200 a share, demonstrating excellent price movement that fits the strong weekly scenario. Apple and Boeing were very strong candidates.

WEEKLY CHART ANALYSIS: DISNEY (DIS) - WEAKER MARKET STRUCTURE

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Reviewing Disney's weekly chart:

- Despite meeting initial filtering, Disney exhibited a weaker market structure compared to Apple and Boeing.

- Old highs from summer 2015 and November were around $120, indicating consistent resistance at that level.

- Price had already blown through a short-term high and, while there were equal highs around $120, it was far less likely to appreciate significantly.

- Disney would have required a rally of about 15% just to reach the old high from 2015, indicating it needed significantly more movement to achieve a new breakout.

- Institutions are less aggressive in buying this type of stock because it is not technically poised, regardless of fundamentals, until it reaches a clear technical level like $120.

- Incidentally, in early 2017, many analysts called for $120 and $125, which, as a contrarian sentiment idea, proved to be the top, as Disney moved just slightly over $116 before trading softer.

WEEKLY CHART ANALYSIS: HOME DEPOT (HD) - STRONG BREAKOUT

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Reviewing Home Depot's weekly chart:

- Home Depot was very similar to Boeing and Apple in its strength.

- During the February 2017 bullish seasonal tendency, when the Dow made a lower low, Home Depot was unwilling to follow.

- Being very close to its old high, institutions stepped in to buy, surging price through the old high for a nice breakout, resulting in a $20 per share appreciation.

WEEKLY CHART ANALYSIS: MCDONALD'S (MCD) - AGGRESSIVE RUN FROM ORDER BLOCK

Reviewing McDonald's weekly chart:

- At the time of bullishness in 2017, price was trading just inside a larger consolidation.

- Price had respected a bullish order block around $120, setting up for a low resistance liquidity run to around $132 a share.

- Price eventually broke out a few months later with a very aggressive run above $132, trading as high as $155 a share.

- McDonald's, coupled with Apple, Boeing, and Home Depot, represents a total of four very strong candidates.

WEEKLY CHART ANALYSIS: VISA (V) - FAVORABLE BUT LESS AGGRESSIVE

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Reviewing Visa's weekly chart:

- Very similar to the other strong candidates, in February 2017, Visa was trading very close to its highs.

- Institutions surged price through, leading to an appreciation of about $10 a share.

- While Visa's share return appreciation was less aggressive than the other four (McDonald's, Home Depot, Boeing, and Apple), it nonetheless met the criteria for higher moves on the weekly chart, and its structure was sound. It was still a favorable selection from the ferreting-out process.

When going through the process of identifying opportunities for February to spring highs in the stock market (applicable to Dow 30, NASDAQ 100, or S&P 500, though the latter requires more work for more selections):

- Once you identify stocks with potential weekly breakouts (as stocks are predisposed to trade higher):

  - Combine a fundamental basis for expecting higher prices in the stock market as a whole.

  - Look for aligning seasonal tendencies for the market to go higher.

- Apply relative strength ideas, supported by SMT divergence between the indices (where one index fails to post a lower low).

  - Ensure the specific stock is showing an unwillingness to go lower.

- This comprehensive approach provides every component of a winning recipe for that stock to go higher. While it doesn't guarantee being right every time, statistically and historically, these elements are consistently present in winning stocks.